

Meta Platforms, Inc.

META NASDAQ

Buy

\$678.27 ▲ 0.74%

12M Price Target
\$780.00

52-Week Range
\$520.26 – \$790.80

Market Cap
\$1.73T

META: Zuck Lobbies Trump on AI Rules, Chip Savings Emerge

WHAT HAPPENED

- Zuck, Musk, and Jensen Huang literally called Trump to push back on AI regulation — that's a huge deal. It means the industry's power players are coordinating politically, and with a friendly White House, the odds of heavy-handed federal AI rules just dropped. Stock is grinding higher (+0.74%) on this plus broad tech strength (+2.31%).
- Report out that META can save \$8.5B in 2027 by using their own MTIA chips instead of buying from Nvidia. That's roughly 5% of revenue dropping straight to the bottom line — a real margin story, not just an AI hype story.

WHY IT MATTERS

The Zuckerberg-Trump call is more important than the market is pricing in — if federal AI regulation stays light-touch, META gets to keep spending \$60B+ a year on AI infrastructure without worrying about compliance costs or liability rules that could kneecap the whole strategy. Meanwhile, the MTIA chip story is the quiet compounder: every dollar they don't pay Nvidia is a dollar of margin, and Wall Street hasn't fully modeled this yet. The \$17B teen safety settlement is already behind them and Instagram overhauls are the cost of doing business — messy headline, but it removes an overhang. Net-net: political tailwind + margin tailwind + stock still 14% off 52-week highs = setup looks favorable.

POLICY & POLITICAL WATCH

The big one is federal AI regulation — there's ongoing debate in Congress about treating AI like tobacco (age gates, warnings, liability), and today's Zuck/Musk/Huang call to Trump is a direct lobbying push to kill that framing. If Trump signals opposition, any serious AI bill dies in the Senate — pure win for META. Separately, the FTC antitrust case against Instagram/WhatsApp is still lurking in appeals, but the current administration has been notably less aggressive on Big Tech breakups than the prior one, which is a quiet positive.

IS IT EXPENSIVE?

At ~\$678, META trades around 24-25x forward earnings — meaning you're paying \$25 for every \$1 of profit they'll make next year. That's a premium to the S&P (around 21x) but a discount to other mega-cap AI names trading at 30-40x. Given they generate \$70B+ in free cash flow (actual cash left after all spending) and have the political wind at their back, this multiple looks reasonable — not a screaming bargain, but fair for a business this dominant.

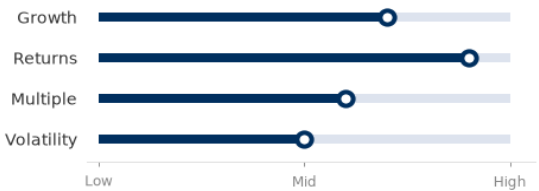
WHAT COULD GO WRONG

- AI regulation snaps back — if a bipartisan bill actually gets traction treating AI like a public health hazard, META's whole capex story gets uglier fast.

Key Data

Price (USD)	\$678.27
12M Price Target	\$780.00
Upside / (Downside)	+15.0%
Market Cap	\$1.73T
FY2026E Revenue	\$195M
FY2027E Revenue	\$225M
FY2026E EPS	\$27.50
FY2027E EPS	\$32.00
Fwd P/E	24.7x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$720.00	\$690.00	\$640.00
6 Months	\$800.00	\$740.00	\$600.00
1 Year	\$880.00	\$780.00	\$580.00
2 Years	\$1050.00	\$880.00	\$550.00
5 Years	\$1500.00	\$1100.00	\$600.00
10 Years	\$2400.00	\$1600.00	\$700.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+2.31% today) is leading everything — the market is betting the Trump admin keeps AI regulation light and the Fed keeps cutting. Consumer Discretionary also strong on the same soft-landing narrative.

COOLING OFF: Utilities cooling (-2% on the week) after the AI-power trade got overextended — money is rotating out of "picks and shovels" back into the actual AI platforms.

ROTATION WATCH: Money is flowing back into mega-cap tech platforms (META, GOOGL) and away from speculative AI infra names. The bet: the platforms with real cash flow win, the story stocks fade.

RELATED PLAY: If META's MTIA chip story is real, that's mildly bearish for Nvidia at the margin but bullish for TSMC (who fabs the chips) and Broadcom (custom silicon design partner).

WHO'S WINNING IN THIS SPACE?

- GOOGL (Alphabet): Same ad-revenue + AI + light-regulation tailwind, plus Gemini traction.
- NVDA (Nvidia): Still the AI arms dealer, though the META chip story is a small yellow flag.

META CONTEXT: META is roughly in line with mega-cap peers on the day but lagging the 52-week highs more than most — that's actually the bull case. It means there's room to run if the setup plays out, and it's not the crowded trade right now.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — Political air cover plus margin expansion story plus reasonable valuation is a rare trifecta for a mega-cap.

POSITION SIZE: 4-6% of portfolio — big enough to matter, small enough that a regulatory surprise doesn't wreck you.

ENTRY POINTS: Add on pullbacks to \$650-665. If we get a broad market shakeout down to \$620, back up the truck.

TIME HORIZON: 12-24 months — the catalyst you're waiting for is the 2027 chip savings actually showing up in guidance, likely early next year.

WHEN TO BAIL: Federal AI bill passes with real teeth, ad revenue growth drops below 10%, or Zuck announces another Metaverse-style capex blowout without a monetization plan.

HEDGING: Buy some out-of-the-money puts 6 months out — cheap insurance against a regulatory surprise. Or just pair it against a pricier AI name so if the whole trade unwinds, you're not fully exposed.